DBS - RHB Research 2026-05-28: A Core Holding For SG Bank Investors; Stay BUY

DBS: A Core Holding For SG Bank Investors; Stay BUY

- Notwithstanding its premium valuation, we see DBS (SGX:D05) (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) as a core holding for investors thanks to its wealth franchise and “in-the-bag” dividends (https://sginvestors.io/sgx/stock/d05-dbs/corporate-action) as well as attractive yield.

- SG Banks appear to be enjoying renewed investor interest amid a shift in rate expectations, continued strong wealth momentum and fee income generation, coupled with a fairly comfortable outlook ahead that the banks hold, despite uncertainties from the

Middle East conflict.

Renewed Interest In SG Banks Amid Shift In Rate Expectations.

- SG Banks started off the year on a decent note, on the back of positive inflows and investor interest thanks to the flight to quality, S$ assets. More recently, we observe a renewed momentum in SG Banks' share price performance.

- We believe this may have been fuelled by a combination of:

    1. Shift in interest rate expectations, where the market is now expecting the US Fed to maintain the policy rate this year, with the possibility of a hike next year. The 1-month Singapore Overnight Rate Average (SORA) has, accordingly, ticked higher of late. SG Banks are among the best proxies to such rate plays as higher benchmark rates should help to alleviate NIM pressure ahead

    2. shift in investor focus to banks' non-interest income from net interest income. In particular, the wealth business has been a bright spark given the continued strong inflows into the country; and

    3. post 1Q26 reporting quarter outlook, where DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info)' guidance was slightly more optimistic notwithstanding uncertainties from the Middle East situation

ADVERTISING



Recap Of 1Q26 Briefing Highlights.

- DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) fine-tuned its 2026 outlook with a positive tilt as it omitted its earlier guidance for net profit to be slightly below 2025 levels. Hedging opportunities (S$60bn of hedges rolling off ahead, but the yield dilution is now guided for 40bps vs 50bps previously) and the stronger-than-expected deposit growth should be positive for NII, while there could be upside to non-II if market sentiment stays strong.

- There was a slight slowdown in the wealth momentum in early April, but this has picked up since in recent weeks.

- On asset quality, its S$2.4bn GP overlays looks sufficient to cover potential losses in unexpected scenarios. It is watchful over the situation in India and Indonesia but last year's de-risking for SME and unsecured consumer looks timely and the real estate space in Hong Kong seems to be recovering.

- Lastly, while there was no commitment to continue with the S$0.24 step-up in absolute annual ordinary dividend beyond 2026, DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) thinks the step-up is a possibility unless macroeconomic conditions turn out to be worse than expected.

> **Maintain BUY Rating With Higher Target Price.**

- Keep BUY, with new DBS's target price (https://sginvestors.io/sgx/stock/d05-dbs/target-price) of S$66.10 (from S$64), 7% upside from the current DBS's share price (https://sginvestors.io/sgx/stock/d05-dbs/share-price-history) and ~5% yield.

- No change to our earnings forecast, but our target price (includes an unchanged 2% ESG premium) is raised following a roll forward in valuation to FY27F.

Above is an excerpt from a report by RHB Securities Research.
Clients of RHB may be the first to access the full PDF report @ https://www.rhbtradesmart.com/ (https://www.rhbtradesmart.com/).

Analyst: Singapore Research
(https://www.rhbgroup.com/)

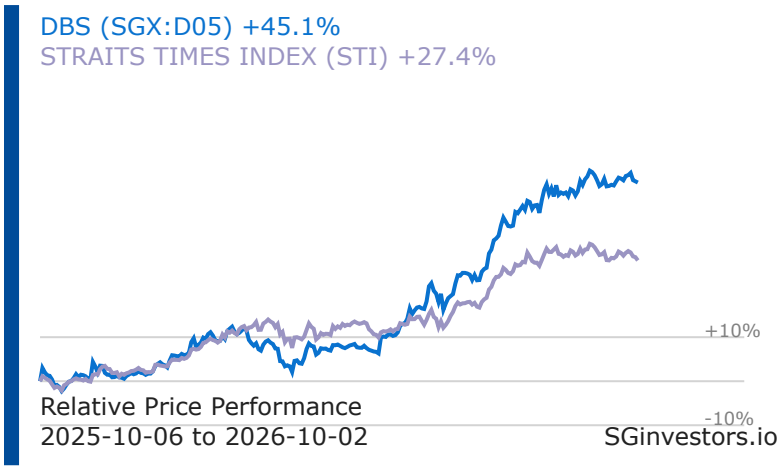
Read also RHB's most recent report:
2026-08-07 **DBS - Valuations And Share Price To Stay Higher For Longer?** (https://sginvestors.io/analysts/research/2026/08/dbs-rhb-research-2026-08-07).

Previous report by RHB:
2026-07-14 **DBS - Expecting Resiliency For Upcoming 2Q26 Results; BUY** (https://sginvestors.io/analysts/research/2026/07/dbs-rhb-research-2026-07-14).

Price targets by 4 other brokers at **DBS Target Prices (https://sginvestors.io/sgx/stock/d05-dbs/target-price)**.

Listing of research reports at **DBS Analyst Reports (https://sginvestors.io/sgx/stock/d05-dbs/analyst-report)**.

Relevant links:
DBS Share Price History (https://sginvestors.io/sgx/stock/d05-dbs/share-price-history),
DBS Announcements (https://sginvestors.io/sgx/stock/d05-dbs/company-announcement),
DBS Dividend Payout Dates & Corporate Actions (https://sginvestors.io/sgx/stock/d05-dbs/corporate-action),
DBS News (https://sginvestors.io/sgx/stock/d05-dbs/news-article)



(https://sginvestors.io/sgx/stock/d05-dbs/share-price-history)

Click to view the full report

arer.php?u=https%3A%2F%2Fsginvestors.io%2Fanalysts%2Fresearch%2F2026%2F05%2Fdbs-rhb-resear

20For%20SG%20Bank%20Investors%3B%20Stay%20BUY%20https%3A%2F%2Fsginvestors.io%2Fanalyst
wa) (https://t.me/share/url?url=https%3A%2F%2Fsginvestors.io%2Fanalysts%2Fresearch%2F2026
%20A%20Core%20Holding%20For%20SG%20Bank%20Investors%3B%20Stay%20BUY) (https://twitt
20For%20SG%20Bank%20Investors%3B%20Stay%20BUY&url=https%3A%2F%2Fsginvestors.io%2Fanalys
x) (mailto:?
g%20For%20SG%20Bank%20Investors%3B%20Stay%20BUY&body=https%3A%2F%2Fsginvestors.io%2F
3Dioem)

Advertisement

You May Also Like

Skylink: Easing Customers' Burden Over COE Concerns

(https://sginvestors.io/analysts/research/2026/09/skylink-rhb-research-2026-09-24)

CapitaLand Integrated Commercial Trust: Benefitting From Multiple Earnings Drivers

(https://sginvestors.io/analysts/research/2026/08/capitaland-integrated-commercial-trust-uob-kay-hian-2026-08-13)

Wilmar International: Integrated Business Model To Navigate The Challenging Operating Environment

(https://sginvestors.io/analysts/research/2026/09/wilmar-international-uob-kay-hian-2026-09-25)

Bumitama Agri: Tip Top

(https://sginvestors.io/analysts/research/2026/09/bumitama-agri-ocbc-research-2026-09-21)

ValueMax Group: Lending Hard, Earning Harder

(https://sginvestors.io/analysts/research/2026/09/valuemax-group-ocbc-research-2026-09-22)

First Resources 1H26 Results: Outperformed Expectations

(https://sginvestors.io/analysts/research/2026/08/first-resources-1h26-results-maybank-research-2026-08-17)

SGX Market Information |

FTSE ST Indices & STI Constituents (https://sginvestors.io/market/ftse-st-indices-straits-times-index-constituents) |

Straits Times Index (STI) Constituents Share Price Performance (https://sginvestors.io/market/sgx-share-price-performance/strai

SGX Top Volume (https://sginvestors.io/market/sgx-top-volume) |

SGX Stocks Surging Volume (https://sginvestors.io/market/sgx-breakout-volume-above-average) |

SGX Top Gainers (%) (https://sginvestors.io/market/sgx-top-gainers-by-percent) |

SGX Top Losers (%) (https://sginvestors.io/market/sgx-top-losers-by-percent) |

SGX Top Gainers ($) (https://sginvestors.io/market/sgx-top-gainers-by-value) |

SGX Top Losers ($) (https://sginvestors.io/market/sgx-top-losers-by-value) |

SGX Stocks 3-Month High (https://sginvestors.io/market/sgx-breakout-price-3-month-high-volume-above-average) |

SGX Stocks 3-Month Low (https://sginvestors.io/market/sgx-breakout-price-3-month-low-volume-above-average) |

SGX Stocks 52-Week High (https://sginvestors.io/market/sgx-breakout-price-52-week-high) |

SGX Stocks 52-Week Low (https://sginvestors.io/market/sgx-breakout-price-52-week-low) |

SGX Top Short Sell Counters by Volume (https://sginvestors.io/market/sgx-top-short-sell-by-volume) |

SGX Top Short Sell Counters by Value (https://sginvestors.io/market/sgx-top-short-sell-by-value) |

SGX Market Fund Flow Overview (https://sginvestors.io/market/sgx-fund-flow-summary) |

SGX Cumulative Fund Flow By Sector (https://sginvestors.io/market/sgx-fund-flow-weekly-cumulative) |

SGX Weekly Fund Flow By Sector (https://sginvestors.io/market/sgx-fund-flow-weekly-statistics) |

Analysts Say - Broker Research Reports |

Analyst Report On SGX Listed Stocks/REITs (https://sginvestors.io/analysts/stocks/) |

Analyst Report On Market Strategy (https://sginvestors.io/analysts/market-strategy/) |
Latest Reports By Industry Sectors (https://sginvestors.io/analysts/sector/latest/) |
Latest Price Targets & Stock Ratings (https://sginvestors.io/analysts/target-price/
Price Targets with Substantial Upside / Downside Potential (https://sginvestors.io/analysts/target-price/substantial-upside-dow
Average Target Price & Fair Value Recommendations (https://sginvestors.io/analysts/target-price-average/5-or-more-recommen

SGX Stock / REIT Search

STI Index Today (https://sginvestors.io/market/ftse-st-indices-straits-times-index-constituents)
Earnings Calendar (https://sginvestors.io/news/sgx-stocks-earnings-calendar)

MOST SEARCHED SGX STOCKS

OCBC Share Price (https://sginvestors.io/sgx/stock/o39-ocbc-bank/share-price-history?utm_source=iosearch)
Singtel Share Price (https://sginvestors.io/sgx/stock/z74-singtel/share-price-history?utm_source=iosearch)
UOB Share Price (https://sginvestors.io/sgx/stock/u11-uob/share-price-history?utm_source=iosearch)
DBS Share Price (https://sginvestors.io/sgx/stock/d05-dbs/share-price-history?utm_source=iosearch)
SIA Share Price (https://sginvestors.io/sgx/stock/c6l-sia/share-price-history?utm_source=iosearch)
Keppel Share Price (https://sginvestors.io/sgx/stock/bn4-keppel/share-price-history?utm_source=iosearch)
Seatrium Share Price (https://sginvestors.io/sgx/stock/5e2-seatrium/share-price-history?utm_source=iosearch)
Sembcorp Share Price (https://sginvestors.io/sgx/stock/u96-sembcorp-ind/share-price-history?utm_source=iosearch)
SATS Share Price (https://sginvestors.io/sgx/stock/s58-sats/share-price-history?utm_source=iosearch)
ST Engineering Share Price (https://sginvestors.io/sgx/stock/s63-st-engineering/share-price-history?utm_source=iosearch)

NEW STOCKS ON SGX

Metrocon (SGX:WYO) (https://sginvestors.io/sgx/stock/wyo-metrocon/stock-info?utm_source=iosearch)
All-Link Air&Sea (SGX:ALK) (https://sginvestors.io/sgx/stock/alk-all-link-ans/stock-info?utm_source=iosearch)
Ambiq (SGX:AMQ) (https://sginvestors.io/sgx/stock/amq-ambiq-micro/stock-info?utm_source=iosearch)
EGP Energy (SGX:EGX) (https://sginvestors.io/sgx/stock/egx-egp-energy-corp/stock-info?utm_source=iosearch)
Foundation Healthcare (SGX:FHH) (https://sginvestors.io/sgx/stock/fhh-foundationhealth/stock-info?utm_source=iosearch)
JustCo (SGX:JCO) (https://sginvestors.io/sgx/stock/jco-justco/stock-info?utm_source=iosearch)

Most Read

1 Day **1 Week** **1 Month**

Singapore Telcos: Consolidation 2.0: Top Pick Singtel (https://sginvestors.io/analysts/research/2026/10/singapore-telcos-rhb-research-2026-10-01)

Singapore Banks: Benefitting From Higher For Longer Bond Yields & Interest Rates

(https://sginvestors.io/analysts/research/2026/09/singapore-banks-uob-kay-hian-2026-09-24)

Singapore Stock Market Next Up: The Next 50 Index

(https://sginvestors.io/analysts/research/2026/09/singapore-stock-market-next-up-uob-kay-hian-2026-09-15)

City Developments: Clearer Roadmap, But Investors Thirsting For More

(https://sginvestors.io/analysts/research/2026/09/city-developments-ocbc-research-2026-09-29)

Singapore Market Strategy: Brace For Higher Energy and Crude Oil Prices

(https://sginvestors.io/analysts/research/2026/09/singapore-market-strategy-uob-kay-hian-2026-09-14)

ComfortDelGro: In Search Of Strong Catalyst; HOLD For Now

(https://sginvestors.io/analysts/research/2026/10/comfortdelgro-maybank-research-2026-10-01)

Singapore REITs: Not All Doom And Gloom After Rate Hike

(https://sginvestors.io/analysts/research/2026/09/singapore-reits-phillip-securities-research-2026-09-21)

City Developments Strategic Review: Value Unlocking Now On The Clock

(https://sginvestors.io/analysts/research/2026/09/city-developments-strategic-review-dbs-research-2026-09-28)

Tiq Referral Code 2026: Use R472344 for extra 5% off Tiq insurance plans in Singapore -

ttps://sginvestors.io/promo/tiq-referral-code)

Use Budget Direct Buddy ID BUDDY133776 for eligible new Car, Motorcycle, Commerci

ttps://sginvestors.io/promo/budget-direct-referral-code-buddy-id)

o earn up to S$1,000 cashback rewards when signing up for an NTUC Link Credit Card or Trust Lir

ttps://sginvestors.io/promo/trust-bank-referral-code)

SGinvestors.io
about 6 months ago



🔥🆙💥March 2026 was a huge month for SGX — total securities market turnover blasted past S$50B, a level we last seen in 2007.

But here's the twist: despite the surge in trading, more stocks fell than rose.

➠ Only 5 STI stocks ended the month in the green.

➠ Only 10 gainers came from the entire Next 50 Index.... See more

Like 5 Share

SGinvestors.io (https://sginvestors.io/)

STI Index (https://sginvestors.io/market/ftse-st-indices-straits-times-index-constituents)

SGX Market (https://sginvestors.io/market/sgx-market-information/)

SGX Listed Companies (https://sginvestors.io/sgx/stock-listing/alpha)

S-REITs (https://sginvestors.io/sgx/reit-listing/alpha)

Analysts Say (https://sginvestors.io/analysts/analysts-say)

Bloggers Say (https://research.sginvestors.io/p/bloggers-say.html)

Business News (https://sginvestors.io/news/publishers/latest/)

SGX Announcements (https://sginvestors.io/news/company-announcement/latest/)

@SGinvestors (https://facebook.com/SGinvestors/)

@SGinvestors (https://twitter.com/SGinvestors/)

Disclaimer: Stock analysis, research and articles on this site are for informational purposes only and do not constitute investment recommendations. You are responsible for making your own investment decisions. Sources of reports are credited at the end of articles when referenced.